

And like Messi, the firm plans to improve by raising growth targets to 30-40 per cent and profit margins to 20-22 per cent. Alongside, the company has evolved beyond the outsourcing model, with as much as 40 per cent of its business coming from India.

"There is a huge misconception that open source is not profitable. We at Srijan have shattered that myth. Open source offers world-class technology products that are free and allow the vendor to custom build modules to map customers' business processes. This gives even small companies (and individuals) such as Srijan, from the developing world, an 'equal opportunity' to stand tall with their western counterparts and offer world-class solutions.

"To customers, this means access to world-class technology at affordable rates. What you build over, gives you a distinct advantage that makes you relevant for corporation or other commercial enterprises, giving immense scope to create a profitable business model. Our ability to design solutions on open source platforms to resolve complex communication problems of our clients, gave us this edge. And the result is escalating ROI on our open source offerings," says Vikram Bhat, head, sales and marketing, Srijan Technologies.

### First tryst with open source

Srijan was started in 1999 as a partnership venture, and was then turned into a proprietorship. In 2001-2002, founder Rahul Dewan, a first generation entrepreneur, decided to focus on ideas around 'doing things better' in the technology realm. This led to the discovery of open source in 2002-03.

"The initial solutions we sold were small outsourcing projects based on open source platforms. We began working on TYPO3 projects and then moved on to other platforms like Drupal, Ruby on Rails, Magento and Django to solve mission critical business problems," says Bhat.

The firm has, to date, worked on such outsourcing projects for end customers in Australia, Austria, Belgium, Canada, Denmark, France, Germany, Netherlands, Spain, Sweden, Switzerland, Thailand, Singapore, USA and India. Some early customers include IDRC, BAHAG AG (Germany), TU Delft (Delft University of Technology, The Netherlands), etc.

But what was the business model around outsourcing? Srijan made money by grabbing parts of projects—primarily in module development—from customers in Germany and the Netherlands.

Customers, mostly development shops, outsourced their work to Srijan, in order to be able to focus on their core competency, gain time-to-market by buying rather

than building wherever possible, reduce cost, and increase operational efficiency. "We began with providing outsourcing solutions on custom Web-based PHP and ASP applications during the start of our business. Later, we worked on websites, enterprise-applications and Web applications using frameworks based on PHP, Python, and Ruby," says Bhat.

But the path wasn't easy. Like any other struggling start-up, getting the first deal was far from a cakewalk. References from within the industry, word of mouth publicity and participation in global events got the firm its initial recognition. The team saw tough times like shoestring budget travel (including staying in Youth Hostel dormitories) to Europe to win the first international clients.

"When we began, the strategy was not to sell open source solutions. Around December 2003, through sponsorship from the World Bank (due to our association with an incubation company) we got a chance to have a small stall at the ICT4D event in Geneva, Switzerland. Representatives from IDRC, New Delhi, were looking for vendors based in New Delhi to work on their website using Postnuke, an open source CMS. They wanted to shift from their current Canada-based vendors to a New Delhi vendor for better management. We replicated their whole site in Postnuke free of cost to prove that open source content management systems was something we could handle, and we got the project. That was our first tryst with open source, and the world of content management systems (CMS)," narrates Dewan, describing the chance events that led to Srijan's adoption of open source software.

"Thrilled with this open world, in April 2004, while researching on other open source CMSs, we found [www.typo3.org](http://www.typo3.org), and were amazed by its feature list, which was free and out-of-the-box. We put a developer to the task of researching TYPO3, and started to talk about it on our website. Within 30 days, a huge corporation in Germany found us, and awarded us our first PHP project. Then came a flurry of TYPO3 projects, and those were the defining days for Srijan. We started growing, on the foundation of open source software, and reinvented ourselves."

Alongside, there were many ups and downs for Srijan. Building a name in the competitive outsourcing market was difficult. "To be honest, we messed up many projects. Slowly we gained competence in what we were doing. Matching European quality standards was very difficult. We continued to learn and burn our fingers. But soon we had a good enough portfolio of many 'well done' projects and 'happy customers', willing to give us repeat business and even further references," says Bhat.

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